EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Santa Ana was created by virtue of executive Order No. 289 signed by President Elpidio Quirino on October 21, 1949 which took effect on January 1, 1950.

The audit covered the accounts and operations of the Municipality of Sta. Ana for the year 2017 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sta. Ana for the year ended December 31, 2017, with comparative figures for CY 2016, are as follows:

Particulars	2017	2016	Increase (Decrease)	
			Amount	Percentage
Financial Condition				
Assets	352,259,454.25	301,731,322.36	50,528,131.89	17
Liabilities	101,988,492.69	98,928,002.80	3,060,489.89	3
Gov't Equity	246,926,891.13	202,803,319.56	44,123,571.57	22
Results of Operation				
Total Income	161,123,318.30	150,883,392.66	10,239,925.64	7
Total Expenses	122,202,352.02	108,357,302.42	13,845,049.60	13
Appropriations, Allotments and Obligations				
Appropriations	200,396,555.34	172,999,501.47	27,397,053.87	16
Allotments	200,396,555.34	172,999,501.47	27,397,053.87	16
Obligations	137,672,211.74	132,634,800.47	5,037,411.27	4

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2017	2016	Increase (Decrease)
Funds Received from Other Agencies			
Due to NGAs	P 18,559,895.88	P 11,884,359.52	P 6,675,536.36

Due to GOCCs	7,529.83	7,529.83	-
Due to LGUs	2,564,165.88	1,477,624.59	1,086,541.29
TOTAL	**P 21,131,591.59**	**P 13,369,513.94**	**P 7,762,077.65**
Funds Transferred to Other Agencies:			
Due from GOCCs	P 68,520.00	P 68,520.00	-
Due from LGUs	16,000.00	16,000.00	-
TOTAL	**P 84,520.00**	**P 84,520.00**	-

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness of the account valued at P162,397,822.09 (net of depreciation) could not be ascertained due to the failure of the Management to conduct physical inventory of all LGU properties and lack of property and equipment ledger cards. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

4. Summary of Audit Observations and Recommendations

1. Fund transfers received from National Government Agencies (NGAs) and Other Local Government Units (LGUs) amounting to P19,546,250.00 for various projects and programs were not completely undertaken, thus timely implementation, objectives and benefits of these projects for the intended beneficiaries were not attained..

   We recommended that the Municipality carefully plan the implementation of projects funded by other agencies to effect the timely delivery of basic services to the people most especially the intended beneficiaries of these programs.

2. The Municipality has not provided the necessary appropriation for the implementation of the programs of Local Council for the Protection of Children (LCPC) in the amount of P1,345,977.72 representing 1% of the Internal Revenue Allotment (IRA) for CY 2017 of P134,597,772.00 contrary to Section 15 of Republic Act (RA) No. 9344, hence the objective of the law for the promotion and protection of the rights and for the development of the well-being of children was not achieved.

   We recommended that Management direct the Municipal Budget Officer to provide the necessary appropriation representing one percent (1%) of the IRA for the strengthening and implementation of the programs of the LCPC.

3. The 20% Development Fund was not optimally utilized due to the non-implementation of several programs, projects and activities under the said fund, hence deprived the intended beneficiaries of the socio-economic benefits that could have been derived thereat.

   We recommended that Management optimally utilize its 20% Development Fund by ensuring that all planned programs, projects and activities under the said fund will be implemented timely in order to achieve the desired benefit intended for its beneficiaries. Also, submit your justification why these projects remained unimplemented.

4. The non-submission of complete supporting documents for the liquidation of cash advances granted to officers and employees resulted in the accumulation of cash advances amounting to P546,736.31, contrary to Section 89 of Presidential Decree 1445 and Sections 5.2 and 5.8 of COA Circular No. 97-002 dated February 10, 1997.

   We recommended that Management strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances by requiring the concerned officials and employees to submit immediately the complete supporting documents for the liquidation of cash advances and require the Municipal Accountant to avoid the grant of additional cash advance to officials and employees unless the previous cash advance is liquidated or a proper accounting thereof is made.

   Likewise, management must exert efforts to cause the liquidation of all cash advances most especially those who are terminated or separated from the service.

5. Summary of Total Suspensions, Disallowances, and Charges

There are no issuances or settlement of Suspensions and Disallowances as at December 31, 2017.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the eleven (11) audit recommendations of prior year's report, two (2) were fully implemented, three (3) were partially implemented, and six (6) were not implemented as at year end.